higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 3

(3011023)

19 November 2019 (X-Paper)
09:00–12:00

This question paper consists of 8 pages.

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TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 The quantity of this factor of production cannot increase:

A Land
B Labour
C Capital
D Entrepreneur

1.1.2 The card issued by a bank to those clients who maintain deposit money on their accounts:

A Credit
B Debit
C Cash
D Subscription

1.1.3 Economic growth is measured by the increase of:

A GDP per capita
B Nominal GDP
C GDP
D GNI

1.1.4 Investments where there is a good chance that the investors will not get back more money than they invested in the first place:

A Low-risk investment
B Fixed deposit
C Long-term investment
D High-risk investment

1.1.5 The physical surroundings and conditions that affect people's lives:

A Economy
B Globalisation
C Political sector
D Environment

1.1.6 An increase in interest rates will make borrowing …

A less expensive.
B more expensive.
C cheaper.
D affordable.

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1.1.7 Changes in government at central, local or regional level:

A Technological
B Institutional
C Environmental
D Globally

1.1.8 Authority designated to collect duties, levied by the country, on imports and exports:

A DTI
B Customs
C Clearing house
D South African Reserve Bank

1.1.9 Factors on which the outcome of a project relies:

A Commodity
B Variables
C Overheads
D Dependencies

1.1.10 ... is how efficiently goods and services are produced in terms of the cost in time, money and effort.

A Production
B Productivity
C Efficiency
D Sustainability

(10 × 1) (10)

1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

1.2.1 A pure market economy is also known as a command economy.

1.2.2 Financial institutions decide what the interest rate should be.

1.2.3 The calculation of gross domestic product includes semi-finished goods.

1.2.4 A drop in the value of the rand against the dollar cause South African products to be cheaper.

1.2.5 Wheat is not an example of an economic indicator.

1.2.6 Gold is the main export of South Africa.

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1.2.7 NEPAD plays a central role in promoting economic recovery in Africa.

1.2.8 Social services are services such as legal, medical and financial services.

1.2.9 Privatisation is the transfer of ownership from the private sector to the state.

1.2.10 A critical path is the shortest of activities which can be done in parallel.

(10 × 1) (10)

1.3 Give ONE word/term for each of the following descriptions. Write only the word/term next to the question number (1.3.1–1.3.10) in the ANSWER BOOK.

1.3.1 The way that money moves or flows in and out of a business

1.3.2 The price of one currency in terms of another currency

1.3.3 The process of using something in a different place from where it was originally intended to be used

1.3.4 Describes the process of observing the different environments

1.3.5 Opening of international markets for trade, controlled by the World Trade Organisation

1.3.6 General attitude or feeling of the public concerning an issue

1.3.7 Interest rate at which the SARB lends money to the banks

1.3.8 One way in which we measure the inflation rate

1.3.9 The term we use to describe paper money issued by the Central Bank

1.3.10 Something that is accepted by people as having a certain value that can be used to exchange or trade

(10 × 2) (20)

[40]

TOTAL SECTION A: 40

SECTION B

QUESTION 2

Read the extract below and answer the questions.



South Africa's inflation rose for the first time this year in May, after food price growth accelerated from the slowest pace since December 2015.

[Source: *www.Bloomberg.com*]

2.1 Explain the term *inflation*. (2)

2.2 What effect does inflation have on the South African balance of payment? (4)

2.3 Explain why inflation is an indicator of the economic performance of a developing country like South Africa. (2)

2.4 Briefly explain FOUR causes of cost-push inflation. (8)

2.5 Name SIX commercial banking markets found in South Africa. (6)

2.6 What is the purpose of the Producer Price Index? (2)

2.7 Due to an increase in the inflation rate, suppose Company A, during the first quarter, makes R120 000 in profit and during the second quarter the profit decrease to R114 000.

Calculate the decrease in profit percentage. (4)

2.8 Explain how the government can ensure environmental sustainability. (8)

2.9 Suppose the rand/dollar exchange is R6, 50 = $1.

If the rand appreciates by 20% against the US dollar, calculate the new exchange rate. (4)

[40]

QUESTION 3

3.1 Name FOUR labour laws that have an impact on South African businesses. (4)

3.2 List THREE examples of social problems which have an impact on the economy. (3)

3.3 Differentiate between *formal* and *informal* sector. (3 × 2) (6)

3.4 Explain the effects of a strike on the economy of South Africa. (2 × 2) (4)

3.5 Differentiate between *simple interest* and *compound interest*. (4)

3.6 Mpho started an export/import business and decided to take a loan from Zonke Bank of R100 000, at a fixed rate of 22%. The loan was for a period of 3 years.

Calculate the compound interest, as well as the total amount paid to the bank.

Show ALL calculations. (10)

3.7 Explain the following concepts:

3.7.1 Fixed production cost

3.7.2 Break-even analysis

(2 × 3) (6)

3.8 Why do we use a critical path analysis? (3)
[40]

QUESTION 4

4.1 Matthew is an inexperienced investor who considers buying shares at Phuthuma Nathi in return for dividends.

Explain the following terms to Matthew.

4.1.1 Shares

4.1.2 Dividends

(2 × 2) (4)

4.2 What impact does infrastructure such as electricity or telephone failure have on a business? (4 × 2) (8)

4.3 Briefly describe FOUR elements of the Skills Development Act that have a positive effect on the economy. (8)

4.4 What are the possible consequences for a business failing to respond to business labour laws? (2 × 1) (2)

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4.5 Explain THREE functions of the South African Reserve Bank. (3 × 2) (6)

4.6 Describe FOUR ways in which an entrepreneur can create a positive environment in the workplace for people living with HIV/AIDS. (8)

4.7 What negative effects could the upgrade of technology, such as cell phones, have on manufacturers? (4)

[40]

QUESTION 5

5.1 What does ESKOM stand for? (1)

5.2 Give an example of each of the following:

5.2.1 Fixed costs

5.2.2 Variable costs

(2 × 2) (4)

5.3 Give FOUR factors that have given rise to globalisation. (8)

5.4 Briefly explain how businesses can help to break the poverty cycle. (6)

5.5 Why is the remuneration of entrepreneurs different to that of the other factors of production? (4)

5.6 Mr Ball wants to export wine to Europe for R40 000 per box. Three boxes of labels for wine costs Mr Ball R78. The gross profit per box of wine is 50%.

Answer the questions below considering that the current exchange rate is €1 = R15,48.

5.6.1 What will his selling price be, per box of wines, in rand value? (4)

5.6.2 Calculate how much one box will cost. (3)

5.6.3 What is the break-even turnover if the fixed costs are R120 000? (3)

5.7 Describe THREE reasons an entrepreneur is of great economic importance. (3 × 2) (6)

5.8 What are the THREE aspects that you should have information on before you can do a critical path analysis? (3)

[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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